

Prakash Chandra Gupta v. State of U.P. & 2 Others

Allahabad High Court · Single Judge · 23 September 2024 · 2024:AHC:154585 · Writ - C No. 10822 of 2021 · **Writ allowed; CGRF order 26.9.2016, Ombudsman order 8.2.2021, and recovery citations dated 27.1.2016 and 31.5.2021 set aside; complaint remitted to CGRF for a fresh decision after hearing, preferably within six weeks; part-relief already granted cannot be withdrawn; no costs**

HEADNOTE

A CGRF order upholding slow-meter arrears founded on a parallel check meter cannot stand if the Forum neither considers Clause 5.6(e) of the U.P. Electricity Supply Code, 2005 nor affords a proper hearing. Clause 5.6(e) (quoted in full) provides that after a 7–15 day check-meter test, if the existing meter is fast or slow beyond permissible limits and the consumer does not dispute the results, the check meter replaces it and bills of the previous three months are adjusted; if the results are disputed, Clause 5.6(c) applies. The High Court did not itself apply the three-month cap or decide whether the results were disputed. Separately, the Electricity Ombudsman exceeds jurisdiction if, on the consumer's own representation and without any appeal by the licensee, he takes away part of the relief CGRF had granted. Following Authorised Officer (Land Reforms) v. M.M. Krishnamurthy Chetty, an unchallenged order is final between the parties. The CGRF and Ombudsman orders and the recovery citations are set aside; the complaint is remitted to CGRF, which cannot withdraw the unappealed part-relief.

FACTUAL SUMMARY

Prakash Chandra Gupta, a manufacturer of glass lamp shades and lighting fixtures at Jain Nagar, Agra Gate, Firozabad, held HV-2 connection no. 5969 (contracted load 42.88 kVA). The urban distribution division, Firozabad (respondent no. 4) installed main meter UPP09227 (9.11.2004) and a parallel check meter UPE81331 (19.12.2005). After MRI, installation of a pole meter, and conversion of the check meter into the main meter (9.6.2010), the July 2010 bill showed arrears of Rs. 6,66,671 on a report that the main meter was 34.62% slow versus the check meter; later UPE81331 was found 67.4% slow versus the pole meter. His 6.9.2010 objection to arrears of Rs. 6,52,172 was decided only on 14.5.2013. A recovery certificate of Rs. 23,21,150 issued on 27.1.2016. Supply was disconnected and restored after deposits of Rs. 4 lakh (12.2.2016) and Rs. 2 lakh (10.11.2020). CGRF, Agra decided complaint 13-F/2016 against him on 26.9.2016; the Electricity Ombudsman dismissed representation no. 228/2017 on 8.2.2021. He sought quashing of those orders and the recovery, restoration of the 8.3.2021 disconnection, and a correct bill.

REUSABLE CONSTRUCTIONS

1. A CGRF order sustaining slow-meter arrears founded on a parallel check meter cannot stand if the Forum neither considers Clause 5.6(e) nor affords the consumer a proper hearing. ¶ 8-10, 13-14
2. The Electricity Ombudsman exceeds jurisdiction if, on the consumer's own representation and without any appeal by the licensee, he takes away part of the relief CGRF had granted. ¶ 10-14
3. An unchallenged CGRF order is final and binding between the parties even if it may not be strictly legal; neither the Ombudsman nor CGRF on remand may withdraw unappealed part-relief (Authorised Officer (Land Reforms) v. M.M. Krishnamurthy Chetty). ¶ 10-14

HOLDING-UNITS

HOLDING-UNIT · UP-2005::5.6(e)

CGRF must apply Clause 5.6(e) and hear the consumer on a check-meter slow-meter arrear

QUESTION

Can a CGRF order sustaining check-meter slow-meter arrears and a recovery certificate stand where Clause 5.6(e) was not considered and the consumer was not properly heard?

HOLDING

No. The petitioner's 6.9.2010 objection and the parallel check-meter history engaged Clause 5.6(e). CGRF's order dated 26.9.2016 showed no proper consideration of that clause and no proper opportunity of hearing, and those defects vitiated

the order (and the recovery founded on it). The Court quoted Clause 5.6(e) in full: after a 7–15 day test, if the existing meter is fast or slow beyond permissible limits and the consumer does not dispute the results, the check meter remains and bills of the previous three months are adjusted; if the results are disputed, Clause 5.6(c) is to be followed. It did not itself apply the three-month adjustment or decide whether the test results were disputed. The CGRF order is set aside and the complaint remitted for a fresh decision after hearing, in the light of that observation, preferably within six weeks. ¶ 8-10, 13-14

QUALIFIER

The High Court remitted rather than recomputing the bill under 5.6(e).

FLAG Petitioner described the licensee's reliance as '56 (ii) of the U.P. Electricity Act, 2003'; that is s.56(2) of the Electricity Act, 2003 — the Court did not construe it. Caption is 'State of U.P. And 2 Others', but the reserved judgment treats respondent no. 2 as the Ombudsman, no. 3 as CGRF, no. 4 as the distribution division, and also sets aside a citation dated 31.5.2021 of 'respondent no. 6' that is not in the prayer. Two consecutive paragraphs are numbered 13. The source PDF also contains listing/amendment/stay orders from 7.4.2021 to 22.8.2024; the judgment under record is 23.9.2024 (2024:AHC:154585).

INTERPLAY · EA2003::42(6)

Ombudsman cannot withdraw unappealed CGRF part-relief on the consumer's own representation

QUESTION

May the Electricity Ombudsman, on a consumer's representation and without any appeal by the licensee, take away part of the relief CGRF had granted?

HOLDING

No. The Ombudsman exceeded jurisdiction by withdrawing, in representation/appeal no. 228/2017 filed by the consumer, part of the relief granted by CGRF on 26.9.2016, there being no appeal or representation by respondent no. 4. Applying *Authorised Officer (Land Reforms) v. M.M. Krishnamurthy Chetty*, even an order that may not be strictly legal becomes final and binding between the parties if it is not challenged before a superior forum; a dispute that has attained finality cannot be reopened. The Ombudsman order dated 8.2.2021 is set aside. On remand, CGRF cannot withdraw that part-relief, there being no appeal or writ by the licensee against the 26.9.2016 order. ¶ 10-14

FLAG The Court did not cite s.42(6). It treated respondent no. 2 (Electricity Ombudsman, U.P.) as the 'appellate Court' on the consumer's representation. Keyed to s.42(6) as the Ombudsman provision. The judgment recites that CGRF decided 'against the petitioner' (para 2) yet also that 'relief which was granted in part' cannot be withdrawn (paras 10, 13-14); the content of that part-relief is not identified.

PRINCIPLE TAGS

audi-alteram-partem-for-demand-assessment-orders CGRF's 26.9.2016 order on the check-meter slow-meter complaint was set aside for want of proper opportunity of hearing as well as for non-consideration of Clause 5.6(e). Fresh decision after hearing directed. ¶ 10, 14

ombudsman-cannot-withdraw-unappealed-cgrf-relief On a consumer's representation, the Electricity Ombudsman cannot take away part of the relief CGRF had granted when the licensee filed no appeal. Unchallenged CGRF relief is final between the parties (*Authorised Officer (Land Reforms)*); CGRF on remand is equally barred from withdrawing it. Lead authorities: *Authorised Officer (Land Reforms) v. M.M. Krishnamurthy Chetty*. ¶ 10-14

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — QUANTUM OF THE SLOW-METER ARREARS AND WHETHER CLAUSE 5.6(E)'S THREE-MONTH ADJUSTMENT OR THE CLAUSE 5.6(C) DISPUTED-RESULT PROCEDURE APPLIES ON THESE FACTS

Clause 5.6(e) was quoted and CGRF was directed to decide in its light after hearing; the High Court did not recompute the bill or decide whether the test results were disputed. ¶ 8, 10, 14

NOT DECIDED — WHETHER SECTION 56(2) OF THE ELECTRICITY ACT, 2003 BARS OR SUPPORTS THE DEMAND

Petitioner said the impugned orders rested on '56 (ii)' without considering mandatory Clause 5.6(e); the licensee said s.56(ii) was rightly applied. Not construed. ¶ 4-5

NOT DECIDED — RESTORATION OF THE 8.3.2021 DISCONNECTION AND ISSUANCE OF A 'CORRECT BILL' AFTER ADJUSTING PAID BILLS

Prayed as mandamus; the operative order quashes the CGRF/Ombudsman orders and the recovery citations and remits the complaint, without a restoration or recasting direction. ¶ 2, 14

NOT DECIDED — VALIDITY OF THE 14.5.2013 DECISION ON THE 6.9.2010 OBJECTION, AND THE CONTENT OF THE 'PART OF THE RELIEF' GRANTED BY CGRF ON 26.9.2016

Petitioner alleged the 14.5.2013 order was passed without hearing, pursuant to the 1.11.2010 writ direction. The part-relief CGRF is forbidden to withdraw is not identified. ¶ 4, 10, 14

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Authorised Officer (Land Reforms) v. M.M. Krishnamurthy Chetty</i> (1998) 9 SCC 138 Supreme Court	Even orders which may not be strictly legal become final and binding between the parties if they are not challenged before the superior courts; a dispute that has attained finality cannot be reopened.		Court	Followed
<i>Shiba Shankar Mohapatra v. State of Orissa</i> (2010) 12 SCC 471 Supreme Court	Cited by the petitioner; no ratio extracted.		Petitioner	Relied on
<i>Bachhaj Nahar v. Nilima Mandal</i> (2008) 17 SCC 491 Supreme Court	Cited by the petitioner; no ratio extracted.		Petitioner	Relied on
<i>Union of India v. Jai Prakash Singh</i> (2007) 10 SCC 712 Supreme Court	Cited by the petitioner; no ratio extracted.		Petitioner	Relied on
<i>V.K. Majotra v. Union of India</i> (2003) 8 SCC 40 Supreme Court	Cited by the petitioner; no ratio extracted.		Petitioner	Relied on
<i>D.P. Kesari v. Board of Directors of Allahabad Agricultural Institute</i> (2009) 12 SCC 272 Supreme Court	Cited by the petitioner; no ratio extracted.		Petitioner	Relied on
<i>M/s Shri Gautam Motors Pvt. Ltd. v. U.P. Power Corporation Ltd.</i> Writ-C No. 12076 of 2004 (order dated 14.12.2016) Allahabad High Court (DB)	Recited in a 11.5.2023 listing order: Division Bench allowed the writ, relying on Amrawati Devi, Balwant Spinning Mills and Tata Hydro, and set aside a demand dated 19.02.2004 and a recovery bill of Rs. 5,93,227. Not applied in the reserved reasons.		Petitioner	Relied on
<i>Smt. Amrawati Devi v. Purvanchal Vidyut Vitran Nigam Ltd.</i> 2009 (1) ADJ 430 (DB) Allahabad High Court (DB)	Recited in the 11.5.2023 listing order: provisional assessment notice dated 31.12.2008 quashed; meter to be tested by an independent agency under Clause 5.6(c)(iii); restoration on deposit. Not applied in the reserved reasons.		Petitioner	Relied on
<i>Balwant Spinning Mills Ltd. v. U.P. State Electricity Board</i> (1997) 6 SCC 740 Supreme Court	Named only as a case relied on in Gautam Motors; no ratio extracted.		Petitioner	Referred
<i>Tata Hydro Electric Power Supply Co. Ltd. v. Union of India</i>	Named only as a case relied on in Gautam Motors; no ratio extracted.		Petitioner	Referred

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
(2003) 4 SCC 172 Supreme Court				

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A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.